

EAST AFRICAN BREWERIES LIMITED
INTERIM FINANCIAL INFORMATION (UNAUDITED)
FOR THE 6 MONTH PERIOD ENDED 31 DECEMBER 2012

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Consolidated profit and loss account

	6 months ended 31 December	
	2012 Kshs'm	2011 Kshs'm
Revenue	30,633	27,777
Cost of sales	(16,234)	(14,321)
Gross profit	14,399	13,456
Selling and distribution costs	(2,541)	(2,311)
Administrative expenses	(3,564)	(3,699)
Other expenses	(436)	(134)
Operating profit	7,858	7,312
Net finance costs	(2,061)	(642)
Profit before income tax	5,797	6,670
Income tax expense	(1,815)	(1,793)
Profit for the period	3,982	4,877
Attributable to:		
Equity holders of the Company	3,755	4,389
Non-Controlling Interest	227	488
	3,982	4,877
Earnings per share for profit attributable to the equity holders of the Company		
- basic and diluted (Shs per share)	4.75	5.55

Consolidated statement of comprehensive income

	6 months ended 31 December	
	2012	2011
	Kshs'm	Kshs'm
Profit for the period	3,982	4,877
Other comprehensive income:		
Items net of tax		
Currency translation differences	(198)	(316)
Total comprehensive income for the period	<u>3,784</u>	<u>4,561</u>
Attributable to:		
Equity holders of the company	3,634	4,131
Non-Controlling Interests	150	430
Total comprehensive income for the period	<u>3,784</u>	<u>4,561</u>

Consolidated statement of financial position

	As at	
	31 December 2012 Kshs'm	30 June 2012 Kshs'm
Capital and reserves attributable to the Company's equity holders		
Share capital and reserves	5,233	6,541
Non-Controlling interests	2,325	2,175
Total equity	7,558	8,716
Non-current liabilities		
Long term borrowings	19,840	19,982
Deferred income tax liabilities	3,371	3,402
Total non-current liabilities	23,211	23,384
Total equity and non-current liabilities	30,769	32,100
Non-current assets		
Property, plant and equipment	32,450	31,247
Intangible assets - Software	184	250
Intangible assets - Goodwill	3,577	3,577
Intangible assets – Brand	563	563
Prepaid operating lease rentals	11	11
Other investments	10	10
Deferred income tax asset	1,538	868
	38,333	36,526
Current assets		
Inventories	8,315	7,957
Receivables and prepayments	9,318	8,190
Current income tax	792	912
Cash and cash equivalents	2,914	997
	21,339	18,056
Current Liabilities:		
Payables and accrued expenses	19,515	15,327
Current income tax	110	492
Short term bank borrowings	8,597	6,048
Dividend payable	681	615
	28,903	22,482
Net current liabilities	(7,564)	(4,426)
	30,769	32,100

Consolidated statement of changes in equity

	Share capital Kshs'm	Share premium Kshs'm	Capital reserves Kshs'm	Translation reserves Kshs'm	Retained earnings Kshs'm	Total Kshs'm	Non controlling interest Kshs'm	Total equity Kshs'm
At 1 July 2011	1,582	1,691	1,282	410	16,203	21,168	5,587	26,755
Comprehensive income for the period								
-Exchange differences on translation of foreign subsidiaries and associate	-	-	-	(258)	-	(258)	(58)	(316)
-Net profit for the 6 month period	-	-	-	-	4,389	4,389	488	4,877
Total comprehensive income for the period	-	-	-	(258)	4,389	4,131	430	4,561
Contributions by and distributions to owners								
Non controlling interest due to KBL repurchase of NCI	-	-	-	-	-	-	(452)	(452)
Dividends:								
- 2011 final paid	-	-	-	-	(2,970)	(2,970)	(903)	(3,873)
Total transactions with owners	-	-	-	-	(2,970)	(2,970)	(1,355)	(4,325)
At 31 December 2011	1,582	1,691	1,282	152	17,622	22,329	4,662	26,991

Consolidated statement of changes in equity (Continued)

	Share capital Kshs'm	Share premium Kshs'm	Capital reserves Kshs'm	Translation reserves Kshs'm	Retained earnings Kshs'm	Share based payment reserve Kshs'm	Other reserves Kshs'm	Total Kshs'm	Controlling interest Kshs'm	Total equity Kshs'm
At 1 January 2012	1,582	1,691	1,282	152	17,622	-	-	22,329	4,662	26,991
Comprehensive income for the period										
-Exchange differences on translation of foreign subsidiaries and associate	-	-	-	131	-	-	-	131	(178)	(47)
-Net profit for the year	-	-	-	-	6,254	-	-	6,254	54	6,308
Total comprehensive income for the period	-	-	-	131	6,254	-	-	6,385	(124)	6,261
Transactions with owners										
NCl acquired during the year	-	-	-	-	-	-	-	-	(1,375)	(1,375)
Transactions with non controlling shareholders	-	-	-	-	-	-	(18,292)	(18,292)	-	(18,292)
Share based payment reserve	-	-	-	-	-	67	-	67	-	67
Dividends:										
- 2011 final paid	-	-	-	-	(1,972)	-	-	(1,972)	(988)	(2,960)
- 2012 interim paid	-	-	-	-	(1,976)	-	-	(1,976)	-	(1,976)
Total transactions with owners	-	-	-	-	(3,948)	67	(18,292)	(22,173)	(2,363)	(24,536)
At 30 June 2012	1,582	1,691	1,282	283	19,928	67	(18,292)	6,541	2,175	8,716

Consolidated statement of changes in equity (Continued)

	Share capital Kshs'm	Share premium Kshs'm	Capital reserves Kshs'm	Translation reserves Kshs'm	Retained earnings Kshs'm	Share based payment reserve Kshs'm	Other reserves Kshs'm	Total Kshs'm	Non Controlling interest Kshs'm	Total equity Kshs'm
At 1 July 2012	1,582	1,691	1,282	283	19,928	67	(18,292)	6,541	2,175	8,716
Comprehensive income for the period										
-Exchange differences on translation of foreign subsidiaries and associate	-	-	-	(121)	-	-	-	(121)	(77)	(198)
-Net profit for the year	-	-	-	-	3,755	-	-	3,755	227	3,982
Total comprehensive income for the period	-	-	-	(121)	3,755	-	-	3,634	150	3,784
Transactions with owners										
Dividends:										
- 2012 final paid	-	-	-	-	(4,942)	-	-	(4,942)	-	(4,942)
Total transactions with owners	-	-	-	-	-	-	-	(4,942)	-	(4,942)
At 31 December 2012	1,582	1,691	1,282	162	18,741	67	(18,292)	5,233	2,325	7,558

Consolidated statement of cash flows

	6 months ended 31 December	
	2012 Kshs'm	2011 Kshs'm
Cash from operating activities	7,424	7,295
Investing activities:		
Purchase of property, plant and equipment	(3,000)	(3,034)
Purchase of NCI share of Kenya Breweries Limited	-	(20,786)
Net cash used in investing activities	(3,000)	(23,820)
Financing activities:		
Dividends paid to shareholders	(4,942)	(2,769)
Dividends paid to minority interest	-	(903)
Proceeds from Borrowings	3,750	21,174
Repayment of Borrowings	(124)	(129)
Net cash (used in)/generated from financing activities	(1,316)	17,373
Increase in cash and cash equivalents	3,108	848
Movement in cash and cash equivalents		
At beginning of period	(194)	678
Increase	3,108	848
At close of period 31 December	2,914	1,526